

FEDERAL MARITIME COMMISSION

DOCKET NO. CC-001

MEDITERRANEAN SHIPPING COMPANY—INVESTIGATION FOR COMPLIANCE WITH §§ 41104(a) AND 41102 OF DEMURRAGE OR DETENTION CHARGES UNDER THE CHARGE COMPLAINT PROCEDURES OF 46 U.S.C. § 41310

REPLY OF THE OFFICE OF ENFORCEMENT TO RESPONDENT’S ANSWER TO ORDER TO SHOW CAUSE

The Federal Maritime Commission (Commission) instituted this proceeding by Order to Show Cause (OSC) on February 3, 2023. The OSC directed Respondent Mediterranean Shipping Company, S.A. (MSC or Respondent) to show cause why the Commission should not order MSC to refund or waive charges assessed or paid, or impose a civil penalty, under 46 U.S.C. §§ 41310(d) and 41107, for failure to comply with 46 U.S.C. §§ 41104(a) and/or 41102. The OSC named the Office of Enforcement (OE) a party to the proceeding and directed OE to file its reply in opposition to Respondent by March 27, 2023. Therefore, in accordance with that mandate, OE hereby submits its reply including the Verified Statement of Kristen Monaco [hereinafter Monaco Verified Statement].

PROCEDURAL HISTORY

This proceeding commenced under 46 U.S.C. § 41310 and 46 C.F.R. § 502.91, based on information submitted by Complainant SOFi Paper Products (SOFi) regarding a congestion surcharge in the amount of \$1000.00 assessed by MSC pursuant to its tariff on a shipment dated July 14, 2022. The OSC ordered Respondent to submit its affidavits of fact, memoranda of law, and documentary evidence by February 28, 2023.

Prior to this deadline, the Commission received Respondent’s Petition to Dismiss the Charge Complaint and the Order to Show Cause (OSC Petition) and the Declaration of Wook Chung in

Support of the Petition (Chung Decl.) on February 24, 2023. Respondent thereafter submitted its Response of MSC Mediterranean Shipping Company S.A. to Order to Show Cause (Response to Show Cause), affidavits of fact, memoranda of law, and documentary evidence on February 28, 2023, along with a Motion for Confidential Treatment of Portions of its Response (Motion for Confidential Treatment). OE filed its response to the OSC Petition on March 3, 2023. Resp. OE Resp't's Pet. Dismiss, CC-001, Doc. No. 9, Mar. 3, 2023 (OE Response to Petition).

CONFIDENTIALITY

Regarding Respondent's Motion for Confidential Treatment, the materials Respondent requests to keep confidential are portions of its service agreements and contractual rates. Despite the Commission previously waiving the provisions Respondent relies on to request this treatment¹, the matter of confidentiality must be addressed to protect trade secrets and minimize dangers to private entities. *See United States v. Hubbard*, 650 F.2d 293 (D.C. Cir. 1980).

OE recognizes the commercially sensitive aspect of the materials Respondent wishes to keep confidential. The Commission's own regulations regarding service contracts filed with the Commission require confidentiality under 46 C.F.R. § 530.4. OE therefore has no objection to Respondent's request that the information and materials indicated in its Motion for Confidential Treatment be kept confidential, nor does OE object to Respondent filing both public and confidential versions of its Response to Show Cause.

ISSUANCE OF REFUND

On February 13, 2023, after the OSC was served, MSC issued a check refunding the charges in question, in full, to SOFi at its legal business address. Chung Decl. ¶ 15. Respondent also

¹ Respondent cites to provisions from Subpart A of the Commission's Regulations, 46 C.F.R. §§ 502.1 through 502.14, as well as provisions from Subpart E of the Commission's Regulations, 46 C.F.R §§ 502.61 through 502.75, to request confidential treatment. The OSC waived such provisions. *See* OSC at 5 ("[T]he Commission hereby waives the provisions of Subparts A - E, I - L and P of Part 502, and all other provisions of the Commission's Rules of Practice and Procedure except as consistent with this Order.").

submitted evidence that this check was cashed by SOFi on March 6, 2023. Investigation Letter, CC-001, Doc. No. 12, Mar. 14, 2023.

The sole relief authorized to the Complainant under the Charge Complaint statutory provisions in 46 U.S.C. § 41310 is a refund or waiver. As this refund has already been remitted, and in accordance with the Charge Complaint Interim Procedure, OE does not propose that any further relief be ordered to the Complainant under the charge complaint. However, pursuant to the OSC, the Commission may still make a determination as to whether the charge was noncompliant and whether a civil penalty should therefore issue pursuant to 46 U.S.C. §§ 41107 and 41109. Moreover, the Commission may issue a finding that MSC's assessment of the congestion surcharge as published in its tariff effective May 4, 2022 with respect to bill of lading no. MEDUI745188 constitutes a violation of 46 U.S.C. §§ 41102(c) and 41104(a)(14).

**MSC'S CONGESTION SURCHARGE MAY CONSTITUTE AN
UNREASONABLE PRACTICE OR ACTION IN VIOLATION OF THE SHIPPING ACT**

Although the issue of relief under the charge complaint itself may be resolved, OE asserts that the facts presented are sufficient to establish prima facie violations of the Shipping Act and the Commission's regulations. Specifically, notwithstanding the resolution of the refund to SOFi, the issue of MSC's congestion surcharge remains ongoing as further demonstrated by the update to its tariff effective February 21, 2023 regarding such charges in the inbound U.S. trades.² See Monaco Verified Statement at ¶ 6. Given the possibility that the surcharge may have been levied upon more of MSC's customers in addition to SOFi since the enactment of the Ocean Shipping Reform Act of 2022 (OSRA 2022), OE finds it appropriate to present the following analysis for the Commission's consideration.

² The only difference between the congestion surcharge as published in MSC's tariff, MESU-032, on February 21, 2023 and May 4, 2022 is the removal of the following provision per the February filing: "For cargo from USA & Puerto Rico to Manila (North Harbor), Phillipines [sic]: USD 1000,- per 20RE/ 40RE/ 40HR". See Response to Show Cause, Exhibit B and Monaco Verified Statement, Attachment B.

The Shipping Act at 46 U.S.C. § 41102(c) prohibits a common carrier from failing to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, and storing or delivering property.³ The statute applies to unreasonable charges or fees that common carriers, such as MSC, may levy against their customers. *See Hapag-Lloyd, A.G. and Hapag-Lloyd (America) LLC – Possible Violations of 46 U.S.C. § 41102(c) (Hapag-Lloyd Initial Decision*, 4 F.M.C. 2d 53, at 78-80 (ID 2022). A lack of information regarding what circumstances may either trigger or extinguish such a charge is unreasonable and contrary to 46 U.S.C. § 41102(c). “In the Notice of Proposed Rulemaking [for the Interpretive Rule on Demurrage and Detention], the Commission noted that the ‘efficacy (and reasonableness) of dispute resolution policies also depends on demurrage and detention bills having enough information to allow cargo interests to meaningfully contest the charges.’” *Interpretive Rule on Demurrage and Detention Under the Shipping Act (Final Rule)*, 85 Fed. Reg. 29638, 29661 (May 18, 2020). “As [the National Customs Brokers and Forwarders Association of America, Inc.] points out, if shippers do not know what a charge means, they cannot ‘ascertain the nature of the charge and if it is justified.’” *Id.* at 29663 (citation omitted). MSC’s congestion surcharge presents this type of uncertainty. An absence of detail into the justification and the timeframe as to when a charge will be levied by a common carrier similarly frustrates a party’s ability to contest the charge, engage in any substantive decision-making regarding how to avoid it, or to compare rates between one carrier and another.

The facts presented in the charge complaint, OSC at 3, and then admitted by MSC in its Response to Show Cause, at 3–9, establish that MSC issued a congestion surcharge of \$1000 against SOFi on a shipment delivered to the Port of Seattle on or about July 14, 2022. Upon SOFi inquiring

³ MSC’s argument that its congestion surcharge falls outside the scope of “receiving, handling, storing or delivering of property” is contradicted by the fact that MSC issued bill of lading no. MEDUI0745188 which necessarily encompasses MSC’s delivery of the specified cargo according to the bill of lading terms at the Port of Seattle. MSC’s assessment of the congestion surcharge is directly tied to this delivery obligation pursuant to its bill of lading. *See* Response to Show Cause, Exhibit F.

about the charge, MSC neither justified the charge nor explained why the charge was applied to this shipment. However, based on independent data collected for the period in question, congestion in the summer of 2022 at the Ports of Seattle and Tacoma was minimal, ranging from 0-2 vessels waiting offshore at anchor. See Monaco Verified Statement at ¶ 5. The quantity of vessels at anchor serves as a key congestion indicator, and few or no ships signals a lack of congestion in the port complex. *Id.* Therefore, MSC’s claim of “congestion” as justification for the surcharge appears contrary to facts.

The Commission has held that a charge is unreasonable if it is not reasonably related, either to an actual service performed for, or a benefit conferred upon, the person being charged. *Kawasaki Kisen Kaisha, Ltd. v. Port Authority of New York and New Jersey*, 2014 FMC LEXIS 36 (FMC Nov. 20, 2014). MSC’s only explanation in its Response to Show Cause regarding congestion that could be related to the charge is to discuss congestion in the United States generally and to cite to articles that discuss conditions in ports other than Seattle in the summer of 2022. By failing to adequately define “congestion” in its tariff or contracts, MSC makes it impossible to assess whether such charges are reasonably related to the benefit being conferred upon those that are subject to the charge.

Furthermore, according to 46 U.S.C. § 41104(a)(14), a common carrier is prohibited from “assess[ing] any party for a charge that is inconsistent or does not comply with all applicable provisions and regulations, including subsection (c) of 41102 or part 545 of title 46, Code of Federal Regulations. . . .” Pursuant to the Commission’s regulations at 46 C.F.R. § 520.7(a)(1), tariff terms must be clear and definite. A common carrier leaving the shipping public to guess as to when and how a surcharge will apply renders that charge neither clear⁴ nor definite.⁵

⁴ Clear: Plain; evident; free from doubt or conjecture; also, unincumbered; free from deductions or draw-backs. Clear, Black’s Law Dictionary (2d ed.), available at <https://thelawdictionary.org>, last visited March 20, 2023.

⁵ Definite: A certain or exact boundary. Definite, Black’s Law Dictionary (2d ed.) (*Id.*).

Absent any published information regarding what circumstances will trigger a charge, and what circumstances will suspend it, the charge should not be levied. The ambiguity of MSC's congestion surcharge, *see* Response to Show Cause at 3–5, 22–25, Ex. B (Tariff Rule Detail, MESU-032), requires interpretation as to what “congestion” is and when it occurs. “However, the law requires that tariffs be clear and definite. If tariffs are ambiguous, they must be construed against the tariff issuer.” *Louis Dreyfus Corp. v. Plaquemines Port, Harbor and Terminal Dist.*, 25 F.M.C. 73, 131 (ALJ 1982).

Analogous to 46 C.F.R. § 520.7, the Commission's regulations have a similar requirement for agreements to be “complete and definite.” 46 C.F.R. § 535.402 states:

An agreement filed under the Act must be clear and definite in its terms, must embody the complete, present understanding of the parties, and must set forth the specific authorities and conditions under which the parties to the agreement will conduct their operations and regulate the relationships among the agreement members, unless those details are matters specifically enumerated as exempt from the filing requirements of this part.

OE asserts that the terms “clear and definite” carry the same meaning across all of the Commission's regulations, and that tariff terms must contain similar specificity. MSC's tariff terms with regard to the congestion surcharge do not meet this standard.

Nor can MSC claim that the charge is reasonable simply because it was contained in a service contract.

The Commission can adjudicate allegations that contract terms are violative of the Shipping Act. *See* Final Rule: Interpretive Rule on Demurrage and Detention, Docket No. 19-05, 85 Fed. Reg. 29638 at 29648 (May 18, 2020) (“Ocean carriers and marine terminal operators (and ocean transportation intermediaries) do not have an unbounded right to contract for whatever they want. They are limited by the prohibitions of the Shipping Act, one of which is section 41102(c).”); *see also* *Cargo One, Inc. v. COSCO Container Lines Company, Ltd.*, 28 S.R.R. 1635, 1645; 2000 FMC LEXIS 14, *32 (FMC 2000) (the test for the Commission's jurisdiction is whether a Claimant's allegations “also involve elements peculiar to the Shipping Act”).

TCW, Inc. v. Evergreen Shipping Agency (Am.) Corp., Docket No. 1966(I), 2022 FMC LEXIS

589, at *6 (FMC Dec. 29, 2022). The same factors detailed above rendering the charge unreasonable in a tariff would likewise render the parallel terms of the contract unreasonable.

In light of the foregoing, as well MSC's insistence on actively maintaining in its tariff the congestion surcharge that is at the heart of this proceeding, OE avers that the Commission is presented with an opportunity, as stated in paragraph nos. 13-15 in the OSC, to make a determination as to the reasonableness of MSC's congestion surcharge and whether it may constitute a violation of 46 U.S.C. §§ 41102(c) and 41104(a)(14). Such an undertaking would arguably be to the benefit of all members of the shipping public who may have been billed by MSC for this ambiguous surcharge subsequent to the enactment of OSRA 2022.

OTHER ISSUES RAISED BY RESPONDENT

Respondent presents additional arguments that, notwithstanding the fact that the refund portion of the charge complaint has been resolved, are worth addressing briefly herein. First, MSC is the proper party to this proceeding, and SOFi has standing to bring the complaint. 46 U.S.C. §41310 states, in pertinent part:

§ 41310 Charge complaints

(a) In general. A person may submit to the Federal Maritime Commission, and the Commission shall accept, information concerning complaints about charges assessed by a common carrier. The information submitted to the Commission shall include the bill of lading numbers and invoices, and may include any other relevant information.

(b) Investigation. Upon receipt of a submission under subsection (a), with respect to a charge assessed by a common carrier, the Commission shall promptly investigate the charge with regard to compliance with section 41104(a) and section 41102 [46 USCS §§ 41104(a) and 41102]. The common carrier shall—

(1) be provided an opportunity to submit additional information related to the charge in question; and

(2) bear the burden of establishing the reasonableness of any demurrage or detention charges pursuant to section 545.5 of title 46, Code of Federal Regulations (or successor regulations).

(c) Refund. Upon receipt of submissions under subsection (a), if the Commission determines that a charge does not comply with section 41104(a) or 41102 [46 USCS § 41104(a) or 41102], the Commission shall promptly order the refund of charges paid.

....

Because the statute itself lays out who may bring a charge complaint (a “person”), for which charges (those “assessed”), and against which entity (“a common carrier”), Respondent’s arguments about standing and proper party do not apply. The congestion surcharge at issue was originated by MSC and SOFi was ultimately financially responsible. Therefore, MSC is the proper party in this proceeding.

As for Respondent’s arguments about due process and burden shifting, this is an order to show cause regarding a charge complaint, not a private civil matter or an enforcement proceeding. Therefore, due process is maintained because that is inherent in the show cause order process, where burden shifting occurs as part of 46 C.F.R. § 502.91 rather than the mandate in 46 U.S.C. § 41310(b)(2).

ISSUE OF A CIVIL PENALTY

In the event that the Commission does find a violation of 46 U.S.C. §§ 41102(c) and 41104(a)(14) by MSC, OE strongly recommends that, in accordance with the Charge Complaint Interim Procedure, this matter be referred to the Administrative Law Judge (ALJ) for a hearing on the assessment of a civil penalty pursuant to 46 U.S.C. §§ 41107 and 41109. OE acknowledges MSC’s refund to SOFi on February 13, 2023. OE’s recommendation to institute a separate civil penalty proceeding is not based on MSC’s delay in refunding the charge to SOFi but is based instead on the nature of the alleged violation, as well as MSC’s insistence on continuing to maintain the ambiguous surcharge in its tariff.

CONCLUSION

For the foregoing reasons, MSC appears to have demonstrated in accordance with the OSC as to why the Commission should not order a refund for the assessed congestion surcharge that was paid by SOFi and disputed in its charge complaint. OE has no objection to the confidentiality treatment

requested by MSC for its service agreements and contractual rates. Pursuant to the OSC, OE requests that the Commission issue findings that: (1) MSC failed to provide justification for its surcharge on the basis of congestion at U.S. ports of discharge; (2) MSC's failure to show the reasonableness of the congestion surcharge invoiced on or about July 14, 2022, or provide justification for same, demonstrates that the charge constitutes an unreasonable action or practice in violation of 46 U.S.C. §§ 41102(c) and 41104(a)(14); and (3) a referral to the ALJ for a separate civil penalty hearing on the violations is appropriate in this case.

Respectfully submitted,

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